

UK Growth and International Pilot Decision

Final recommendation: Choose Option 3 - a staged hybrid approach. Protect and develop core UK customers first, while using clear data gates to run limited pilots in Germany and France.

1. Recommendation Logic

The decision about protecting the current revenue base while avoiding a blind international expansion based on a few large accounts.

- **Option 1 - UK only:** protects the current revenue base, but it does not reduce the long-term market concentration risk.
- **Option 2 - International only:** moves too early because some non-UK markets have high revenue but weak customer breadth or high concentration.
- **Option 3 - Staged hybrid:** keeps the UK core safe and tests Germany and France only where customer breadth, repeat behavior, continuity, and concentration risk are acceptable.

2. Data Controls Behind the Decision

These controls make the recommendation more defensible. They prevent the decision from being driven by incomplete months or unusually large invoices.

- **Partial December control:** December 2011 has only 8 observed trading days, so it is excluded from scored trends, customer scoring, and country comparison.
- **Bulk-order sensitivity:** valid large orders stay in raw revenue, but orders above the 99th percentile are separated in robust metrics to avoid inflated LTV or country performance.
- **Decision use:** raw revenue shows actual sales; robust revenue checks whether the conclusion still holds without a small number of very large invoices.

3. UK Evidence: Protect and Develop

The UK contributes 81.4% of raw revenue in the complete analysis period, so the first task is not only retention. The data also helps find customers who look similar to high-value buyers and may be worth developing next.

- **Protect High-Value Customers:** high-value customers are UK repeat buyers with at least 2 orders and top 20% robust revenue among UK repeat buyers.
- **Current protection case:** 477 High-Value Repeat Active customers generate 56.1% of UK robust revenue, so losing this group would directly affect the revenue base.
- **Develop High-Potential Customers:** non-high-value UK customers are scored by recency 35%, frequency 30%, robust AOV 20%, and product breadth 15%; the top 20% become the next priority list.
- **Backtest validation:** May snapshot shows 70.0% next-90-day repeat purchase for High Potential vs. 29.0% for Standard; August snapshot shows 77.3% vs. 36.6%. This validates prioritization, not causality.

UK workstream	Definition / method	How it supports the decision
Protect high-value customers	At least 2 orders and top 20% robust revenue among UK repeat buyers.	Identifies the revenue base to protect first: 477 active customers drive 56.1% of UK robust revenue.
Develop high-potential customers	Rule-based score: recency 35%, frequency 30%, robust AOV 20%, product breadth 15%; top 20% are High Potential.	Creates a clear target list for development. Historical snapshots show much stronger repeat behavior than Standard customers.

4. International Evidence: Screen Before Scaling

The international analysis is a screening tool. It checks whether revenue is supported by enough customers and low concentration risk.

- **Evidence Score:** customer breadth 25% + robust revenue scale 20% + repeat behavior 20% + active-month continuity 15% + concentration safety 20%.
- **Hard pilot gates:** at least 20 customers, at least 8 active months, Top 1 customer share below 25%, and Top 3 customer share below 50%.
- **Result:** Germany and France have the strongest first-pilot evidence. Belgium and Switzerland also pass gates, but their scale is smaller, so they stay as monitor candidates.

Country	Customer base and revenue	Repeat / continuity	Concentration risk	Decision
Germany	93 customers; \$207K robust revenue	71.0% repeat; 12 active months	Top 3 share 19.6%	First pilot
France	86 customers; \$180K robust revenue	66.3% repeat; 12 active months	Top 3 share 24.9%	First pilot
Belgium	25 customers; \$40K robust revenue	72.0% repeat; 12 active months	Top 3 share 29.6%	Monitor
Switzerland	21 customers; \$35K robust revenue	71.4% repeat; 12 active months	Top 3 share 46.6%	Monitor

5. Why Hybrid

The evidence supports a hybrid choice because the UK is still the main revenue base, while Germany and France are the best data-backed places to test international demand without over-scaling.

- **UK retention alone is too defensive:** it protects near-term revenue but leaves the business dependent on one core market.
- **International expansion alone is too risky:** revenue can be misleading when it comes from a small number of customers or bulk orders.
- **Staged hybrid is the practical middle:** protect high-value UK customers, develop high-potential UK customers, and run limited pilots only in countries that pass both evidence score and risk gates.